

Trader Behavior Insights Using Market Sentiment

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1. Introduction

This report examines how Bitcoin market sentiment, specifically levels of Fear and Greed, influences trader behavior and performance. Using historical trading data alongside daily sentiment classification, this analysis explores performance trends, win rates, and behavior patterns. The objective is to uncover insight-driven strategies that enhance decision-making in real trading environments.

2. Key Insights

- Win rates are higher during Fear and Extreme Fear periods, indicating disciplined trading behavior.
- Neutral sentiment shows weaker win rates due to unclear market direction and reduced conviction.
- Extreme emotional sentiment produces greater PnL variability, creating both higher reward and risk potential.
- Experienced traders consistently capitalize during Fear phases, suggesting stronger emotional control and strategy adaptation.

3. Strategy Recommendations

- Avoid over-trading during Neutral sentiment periods where signals are weaker.
- Apply position sizing relative to market sentiment strength: increase exposure during Extreme sentiment.
- Use sentiment as an additional confirmation signal alongside technical indicators.
- Maintain strong risk controls to protect against volatility-driven swings during emotional phases.

4. Conclusion

The relationship between market sentiment and trading performance is meaningful. Emotional sentiment phases provide clearer direction and higher volatility, which traders can leverage effectively with structured risk management. Integrating sentiment awareness into trading strategies can improve execution quality, timing, and long-term performance. This analysis demonstrates the value of combining market psychology with historical data to enhance trading intelligence.

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